



KYC AML Policy

Arvesta Financial Services Private Limited

Arvesta Financial Services Private Limited

(prev. Neo Investment and Finserv Services Private Limited)

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1. Introduction

Arvesta Financial Services Private Limited ("the Company" or "Arvesta"), a non-deposit taking Non-Banking Financial Company (NBFC) registered with the Reserve Bank of India ("RBI"), is engaged in business of lending.

This KYC AML Policy has been formulated in accordance with the RBI (NBFC – Know Your Customer) Directions, 2025. This policy has been approved by the Board of Directors in accordance with the requirements set forth under the aforementioned regulations.

1.1 Background

In terms of the provisions of Prevention of Money Laundering ('PML') Act, 2002 and the Prevention of Money Laundering (Maintenance of Records) Rules, 2005, as notified and further amended from time to time by the Government of India, the Company is required to follow certain customer identification procedures and conduct customer due diligence while undertaking a transaction either by establishing an account-based relationship or otherwise and monitor their transactions and take steps to ensure implementing the provisions of the aforementioned Act, Rules and Ordinance, including operational instructions issued in pursuance of such amendment(s).

1.2 Objectives and Scope

The major objectives of the Policy are below:

- Prevent criminal elements from using Company for Money Laundering and Terrorist Financing activities.
- Lay out an appropriate eligibility criterion for accepting customers.
- Lay out an effective system for customer identification to appropriately identify the customer.
- Effectively manage risks of money laundering, situations that facilitate money laundering, or for the funding of terrorist or criminal activities.
- To enable Company to know and understand its customers and their financial dealings better which, in turn, would help the Company to manage risks prudently.
- Establish adequate monitoring and reporting systems to identify, create and submit timely reports of customer identity, instances or suspicions of fraud, etc. both internally and to appropriate authorities.
- Establish adequate and internal control to ensure proper compliance with all applicable regulations.
- To understand the customer financial dealings to prevent the risk rising from it.
- To sufficiently comply with applicable laws and regulatory guidelines.



This Policy is applicable to all branches of the Company including any outsourced manpower working for the Company. Policy shall be applicable to all verticals/products of the Company whether existing or rolled out in future. The Company shall ensure that decision-making functions of determining compliance with KYC norms are not outsourced.

1.3 Definitions

i. **Beneficial owner'** refers to:

- a. Where the customer is a company, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical persons, has/have a controlling ownership interest or who exercise control through other means.

"Controlling ownership interest" means ownership of/entitlement to more than 10 percent of the shares or capital or profits of the company.

"Control" shall include the right to appoint majority of the directors or to control the management or policy decisions including by virtue of their shareholding or management rights or shareholders agreements or voting agreements.

- b. Where the customer is a partnership firm, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person, has/have ownership of/entitlement to more than 10 percent of capital or profits of the partnership or who exercises control through other means.

"Control" shall include the right to control the management or policy decision.

- c. Where the customer is an unincorporated association or body of individuals, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person, has/have ownership of/entitlement to more than 15 percent of the property or capital or profits of the unincorporated association or body of individuals.

Term 'body of individuals' includes societies. Where no natural person is identified under the above (a), (b) or (c), the beneficial owner is the relevant natural person who holds the position of senior managing official.

- d. Where the customer is a trust, the identification of beneficial owner(s) shall include identification of the author of the trust, the trustee, the beneficiaries with 10 percent or more interest in the trust and any other natural person exercising ultimate effective control over the trust through a chain of control or ownership.

- ii. **'Central KYC Records Registry (CKYCR)'** means an entity defined under Rule 2(1) of the Rules, to receive, store, safeguard and retrieve the KYC records in digital form of a customer.



- iii. **'Customer'** means a person who is engaged in a financial transaction or activity with the Company and includes a person on whose behalf the person who is engaged in the transaction or activity, is acting.
- iv. **'Equivalent e-document'** means an electronic equivalent of a document that the issuing authority of such document issues with its valid digital signature, including documents issued to the digital locker account of the customer as per rule 9 of the Information Technology (Preservation and Retention of Information by Intermediaries Providing Digital Locker Facilities) Rules, 2016.
- v. **'Officially Valid Document (OVD)'** means the passport, the driving licence, proof of possession of Aadhaar number, the Voter's Identity Card that the Election Commission of India issues, the job card that NREGA issues and an officer of the State Government duly signs, and the letter that the National Population Register issues containing details of name and address.

Provided that,

a. where the customer submits his proof of possession of Aadhaar number as an OVD, he may submit it in such form that the Unique Identification Authority of India (UIDAI) issues.

b. When the customer furnishes an OVD that does not have an updated address, the Company shall deem the following documents or the equivalent e-documents thereof to be OVDs for the limited purpose of proof of address:

- utility bill which is not more than two months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill)
- property or Municipal tax receipt
- pension or family pension payment orders (PPOs) issued to retired employees by Government Departments or Public Sector Undertakings, if they contain the address
- letter of allotment of accommodation from employer that is issued by State Government or Central Government Departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies and leave and licence agreements with such employers allotting official accommodation.

c. The customer shall submit OVD with current address within a period of three months of submitting the documents specified at (b) above.

d. If the OVD that a foreign national presents does not contain the details of address, the Company shall accept documents that Government departments of foreign jurisdictions issue, and a letter that the Foreign Embassy or Mission in India issues, as proof of address.

Explanation: For the purpose of this clause, the Company shall deem a document to be an OVD even if there is a change in the name subsequent to its issuance provided that it is supported by a marriage certificate that the State Government issues or a Gazette notification, indicating such a change of name.

- vi. **'Person'** has the same meaning assigned in the Act and includes:

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- a. an individual,
- b. a Hindu undivided family,
- c. a company,
- d. an association of persons or a body of individuals, whether incorporated or not,
- e. every artificial juridical person, not falling within any one of the above persons (a to d) and
- f. any agency, office or branch owned or controlled by any of the above persons (a to e).

- vii. **‘Suspicious transaction’** means a ‘transaction’ as defined below, including an attempted transaction, whether or not made in cash, which, to a person acting in good faith:
- a. gives rise to a reasonable ground of suspicion that it may involve proceeds of an offence specified in the Schedule to the Act, regardless of the value involved; or
 - b. appears to be made in circumstances of unusual or unjustified complexity; or
 - c. appears to have no economic rationale or bona fide purpose; or
 - d. gives rise to a reasonable ground of suspicion that it may involve financing of the activities relating to terrorism.

Explanation: Transaction involving financing of the activities relating to terrorism includes transaction involving funds that the Company suspects are linked or related to, or to be used for terrorism, terrorist acts or by a terrorist, terrorist organisation or those who finance or are attempting to finance terrorism

- viii. **‘Customer Due Diligence (CDD)’** means identifying and verifying the customer and the beneficial owner using reliable and independent sources of identification.

Explanation: The CDD, at the time of commencement of an account-based relationship or while carrying out occasional transaction of an amount equal to or exceeding ₹50,000 whether conducted as a single transaction or several transactions that appear to be connected, or any international money transfer operations, shall include:

- a. Identification of the customer, verification of their identity using reliable and independent sources of identification, obtaining information on the purpose and intended nature of the business relationship, where applicable
 - b. Taking reasonable steps to understand the nature of the customer's business, and its ownership and control
 - c. Determining whether a customer is acting on behalf of a beneficial owner, and identifying the beneficial owner and taking all steps to verify the identity of the beneficial owner, using reliable and independent sources of identification
- ix. **‘Know Your Client (KYC) Identifier’** means the unique number or code that the Central KYC Records Registry assigns to a customer.

In the process of opening an account, once the customer's KYC Identifier is generated by CKYCR and provided to the Company, the latter shall share the same with the concerned customer. The customer can also access his KYC Identifier on CKYCR Portal (www.ckycindia.in).



- x. **'On-going Due Diligence'** means regular monitoring of transactions in accounts to ensure that transactions are consistent with the Company's knowledge about the customers, customers' business and risk profile, the source of funds / wealth.
- xi. **'Senior Management'** for the purpose of this Policy shall mean and include the Business Head, Risk Head, and Compliance Head.
- xii. **'Periodic Update'** means the steps taken to ensure that documents, data or information collected under the CDD process are kept up-to-date and relevant by undertaking reviews of existing records at the periodicity prescribed by the RBI.

1.4 Compliance of KYC Policy

The Company shall ensure compliance with KYC Policy through:

- i. Allocation of responsibility for effective implementation of policies and procedures.
- ii. Independent evaluation of the compliance functions of the Company's policies and procedures, including legal and regulatory requirements.
- iii. Concurrent / internal audit system to verify compliance with KYC / AML policies and procedures.
- iv. Submission of quarterly audit notes and compliance to the Audit Committee.
- v. The Company shall ensure that it does not outsource the decision-making functions of determining compliance with KYC norms

1.5 Governance Structure

Principal Officer:

The Company shall appoint an officer at the management level to be designated as Principal Officer (PO). The Principal Officer shall be responsible for ensuring compliance, monitoring transactions, and sharing and reporting information as required under the law / regulations.

The PO will be responsible for reporting information relating to suspicious transaction to the Director, FIU-IND. The name, designation, address and contact details of the Principal Officer shall be communicated to the FIU-IND and RBI.

Designated Director:

The board of the Company shall nominate a Designated Director to ensure overall compliance with the obligations imposed under chapter IV of the PML Act and the Rules. The Managing Director or a whole-time Director, duly authorized by the Board of Directors, shall be appointed as Designated Director.

The name, designation, address and contact details of the Designated Director will be communicated to the FIU-IND and RBI. The Principal Officer shall not be nominated as the Designated Director.



1.6 Money Laundering and Terrorist Financing Risk Assessment

The Company shall carry out a 'Money Laundering' (ML) and 'Terrorist Financing' (TF) Risk Assessment for mitigation of AML risk at least annually covering the following aspects:

- i. Identification and assessment of money laundering and terrorist financing risks and take effective measures to mitigate those risks for clients, countries or geographic areas, products, services, transactions, or delivery channels, etc.
- ii. The assessment process shall consider all the relevant risk factors before determining the level of overall risk and the appropriate level and type of mitigation to be applied. While preparing the internal risk assessment, the Company shall take cognizance of the overall sector-specific vulnerabilities, if any, that the regulator/supervisor may share with the Company from time to time.
- iii. The Company shall properly document the outcome of the risk assessment exercise conducted and proportionate to the nature, size, geographical presence, complexity of activities/structure, etc. of the Company.
- iv. The results shall be placed before the Board or relevant sub-committee of the Board to which power in this regard has been delegated and shall be made available to competent authorities and self-regulating bodies.
- v. The Company shall apply a risk based approach (RBA) for mitigation and management of risks (identified on their own or through national risk assessment) and should have Board approved policies, controls and procedures in this regard. The Company shall implement a CDD programme, having regard to the ML/TF risks identified and the size of business. Further, the Company shall monitor the implementation of controls and enhance them if necessary.

2. Key Elements of the Policy

In line with the RBI Master guidelines, the KYC AML policy and procedures comprises of the following components:

- a. Customer Acceptance Policy (CAP)
- b. Customer Identification Procedures (CIP)
- c. Monitoring of Transactions; and
- d. Risk Management

2.1 Customer Acceptance Policy



The Company has framed the Customer Acceptance Policy for ensuring compliance with all applicable regulatory guidelines during customer onboarding. The Company will ensure that:

- i. No customer is onboarded in anonymous or fictitious/benami name.
- ii. Customer is not onboarded in case the Company is unable to apply appropriate CDD measures, either due to non-cooperation of the customer or non-reliability of the documents/information furnished by the customer.
- iii. No transaction or business relationship is undertaken without following the CDD procedure.
- iv. Specify the mandatory information to be sought for KYC purposes while opening an account and during the periodic updation.
- v. Obtain additional information, where its internal KYC Policy has not specified such information requirement, with the explicit consent of the customer.
- vi. Apply the CDD procedure at the Unique Customer Identification Customer (UCIC) level. Thus, if an existing KYC-compliant customer of the Company desires to open another account or avail of any other product or service from the Company, there shall be no need for a fresh CDD exercise as far as identification of the customer is concerned.
- vii. CDD Procedure is followed for all the co-applicants, wherever applicable
- viii. Clearly spell out the circumstances in which a customer is permitted to act on behalf of another person / entity.
- ix. Put in place a suitable system to ensure that the identity of the customer does not match with any person or entity, whose name appears in the sanctions lists indicated in Chapter IX of the Directions.
- x. Verify the Permanent Account Number (PAN) (if obtained) from the verification facility of the issuing authority.
- xi. Verify the customer's digital signature on the equivalent e-document (if obtained) as per the provisions of the Information Technology Act, 2000 (21 of 2000).
- xii. Verify the Goods and Services Tax (GST) number from the search / verification facility of the issuing authority, where the GST details are available.

Where the Company forms a suspicion of money laundering or terrorist financing, and reasonably believes that performing the CDD process will tip-off the customer, the Company shall not pursue the CDD process, and instead file an STR with FIU-IND.

2.2 Risk Management

For risk management, the Company shall have a risk-based approach which includes the following.

- i. The Company shall categorise customers into low, medium, and high-risk categories, based on its assessment and risk perception.
- ii. The Company may lay down broad principles for the risk-categorisation of customers.
- iii. The Company shall undertake risk categorisation based on parameters such as the customer's identity, social / financial status, nature of business activity, and information about the customer's business and its location, geographical risk covering customers as well as transactions, type of products / services offered, delivery channel used for delivery of products / services, types of transactions undertaken, etc.



The Company may also factor in the ability to confirm identity documents through online or other services offered by issuing authorities, while considering customer's identity.

- iv. The Company shall keep the risk categorisation of a customer and the specific reasons for such categorisation confidential and shall not reveal this information to the customer to avoid tipping off.

Provided that the Company collects various other non-intrusive information from different categories of customers relating to the perceived risk and specifies the same in the KYC policy.

Explanation: The Company may also use the FATF Public Statement, the reports and guidance notes on KYC / AML issued by the Indian Banks Association (IBA), and other agencies, etc., in its risk assessment.

2.3 Customer Identification Procedure (CIP)

The Company shall undertake identification of customers in the following cases:

- i. Commencement of an account-based relationship with the customer
- ii. Periodically to keep track of any changes in behaviour that are a cause for concern
Periodic update of KYC to confirm identity and address and other particulars, including PEP status of the customer that are reasonable / necessary based on risk profile of the customer
- iii. When there is a doubt about the authenticity or adequacy of the customer identification data it has obtained.
- iv. Selling third party products as agents, selling their own products and any other product for more than ₹50,000.
- v. When the Company has a reason to believe that a customer is intentionally structuring a transaction into a series of transactions below the threshold of ₹50,000.
- vi. The Company shall ensure it does not seek introductions while opening accounts.

For the purpose of verifying the identity of customers in the following scenarios:

- at the time of commencement of a business – relationship or while carrying out an occasional transaction of an amount equal to or exceeding ₹50,000 whether conducted as a single transaction or several transactions that appear to be connected, or
- any international money transfer operations the Company, may rely on customer due diligence done by a third party, subject to the following conditions:
 - i. The Company obtains the records or information of the customer due diligence carried out by the third party immediately from the third party or from the CKYCR.
 - ii. The Company shall take adequate steps to satisfy itself that the third party will make copies of identification data and other relevant documentation relating to the customer due diligence requirements available, upon request, without delay.
 - iii. A regulator regulates, supervises, or monitors the third party, and the third party has measures in place for compliance with customer due diligence and record-keeping requirements in line with the requirements and obligations under the PML Act.



- iv. The Company shall ensure that the third party is not based in a country or jurisdiction assessed as high-risk.

The Company will have the ultimate responsibility for customer due diligence and undertaking enhanced due diligence measures, as applicable.

3. Customer Due Diligence

3.1 CDD procedure in case of Individuals

For undertaking CDD, the Company shall obtain the following from an individual while establishing an account-based relationship or while dealing with the individual who is a beneficial owner, authorised signatory or the power of attorney holder related to any legal entity:

- i. the Aadhaar number where,
 - a. they are desirous of receiving any benefit or subsidy under any scheme notified under section 7 of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 (18 of 2016); or
 - b. they decide to submit their Aadhaar number voluntarily to the Company or any RE notified under the first proviso to sub-section (1) of section 11A of the PML Act; or
- ii. the proof of possession of Aadhaar number where the Company can carry out offline verification; or
- iii. the proof of possession of Aadhaar number where the Company cannot carry out the offline verification or any OVD or the equivalent e-document thereof containing the details of their identity and address; or
- iv. the KYC Identifier with an explicit consent to download records from CKYCR; and
- v. the PAN or the equivalent e-document thereof or Form No. 60 as defined in Income-tax Rules, 1962; and
- vi. the Company may require such other documents including in respect of the nature of business and financial status of the customer, or the equivalent e-documents thereof.

Provided that where the customer has submitted,

- Aadhaar number under clause (i) above to the Company notified under first proviso to sub-section (1) of section 11A of the PML Act, the Company shall carry out authentication of the customer's Aadhaar number using UIDAI's e-KYC authentication. Further, in such a case, if the customer wants to provide a current address, different from the address as per the identity information available in the Central Identities Data Repository, they may give a self-declaration to that effect to the Company.
- Proof of possession of Aadhaar under clause (ii) above where offline verification can be carried out, the Company shall carry out offline verification.



- An equivalent e-document of any OVD, the Company shall verify the digital signature as per the provisions of the Information Technology Act, 2000 (21 of 2000) and any rules issued thereunder and take a live photo as specified in the Directions.
- Any OVD or proof of possession of Aadhaar number under clause (iii) above where offline verification cannot be carried out, the Company shall carry out verification through digital KYC as specified in the Directions.
- KYC Identifier under clause (iv) above, the Company shall retrieve the KYC records online from the CKYCR in accordance with the Directions.

Provided that for a period not beyond such date as the Government may notify for a class of REs, instead of carrying out digital KYC, the Company pertaining to such class may obtain a certified copy of the proof of possession of Aadhaar number or the OVD and a recent photograph where the customer does not submit an equivalent e-document.

Provided further that in case the Company cannot perform an e-KYC authentication for an individual desirous of receiving any benefit or subsidy under any scheme notified under section 7 of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 owing to injury, illness or infirmity on account of old age or otherwise, and similar causes, the Company shall, apart from obtaining the Aadhaar number, perform identification preferably by carrying out offline verification or alternatively by obtaining the certified copy of any other OVD or the equivalent e-document thereof from the customer. An official of the Company shall invariably carry out CDD done in this manner, and such exception handling shall also be a part of the concurrent audit as mandated in the Directions. The Company shall ensure to duly record the cases of exception handling in a centralised exception database. The database shall contain the details of grounds of granting exception, customer details, name of the designated official authorising the exception and additional details, if any. The Company shall subject the database to periodic internal audit / inspection and the Company shall make database available for supervisory review.

Explanation 1: The Company shall, where its customer submits a proof of possession of Aadhaar Number containing Aadhaar Number, ensure that such customer redacts or blacks out his Aadhaar number through appropriate means where the authentication of Aadhaar number is not required.

Explanation 2: The Company official can perform biometric-based e-KYC authentication, including Aadhaar Face Authentication.

Explanation 3: The Company shall ensure that the use of Aadhaar, proof of possession of Aadhaar etc., is in accordance with the Aadhaar (Targeted Delivery of Financial and Other Subsidies Benefits and Services) Act, 2016 and the regulations made thereunder.

Explanation 4: Aadhaar number is not mandatory for purposes of KYC. However, in case the customer is desirous of receiving any benefit or subsidy under any scheme notified under section 7 of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 (18 of 2016), the customer shall provide the Aadhaar number to the Company. In other cases, customers may provide the Aadhaar number voluntarily.



3.2 CDD procedure for Sole Proprietary firms and Legal Entities

KYC for Sole proprietary firms and Legal Entities shall be obtained in line with the Annexure I.

3.3 Identification of Beneficial Owner

For opening an account of a Legal Person who is not a natural person, the Company shall identify the beneficial owner(s) and shall undertake all reasonable steps in terms of sub- rule (3) of Rule 9 of the Rules to verify their identity, keeping in view the following:

- i. Where the customer or the owner of the controlling interest is:
 - a. an entity listed on a stock exchange in India, or
it is an entity resident in jurisdictions notified by the Central Government and listed on stock exchanges in such jurisdictions, or
 - b. it is a subsidiary of such listed entities; it is not necessary to identify and verify the identity of any shareholder or beneficial owner of such entities.
- ii. In cases of trust / nominee or fiduciary accounts, the Company determines whether the customer is acting on behalf of another person as trustee / nominee or any other intermediary. In such cases, the Company shall obtain satisfactory evidence of the identity of the intermediaries and of the persons on whose behalf they are acting, as well as details of the nature of the trust or other arrangements in place.

3.4 Ongoing Due Diligence

The Company shall undertake ongoing due diligence of customers to ensure that their transactions are consistent with their knowledge about the customers, customers' business and risk profile, the source of funds / wealth.

Without prejudice to the generality of factors that call for close monitoring, the Company shall necessarily monitor the following types of transactions:

- i. Large and complex transactions and those with unusual patterns, inconsistent with the normal and expected activity of the customer, which have no apparent economic rationale or legitimate purpose.
- ii. Transactions which exceed the thresholds prescribed for specific categories of accounts.
- iii. High account turnover inconsistent with the size of the balance maintained.

For ongoing due diligence, the Company may consider adopting appropriate innovations including artificial intelligence and machine learning (AI and ML) technologies to support effective monitoring.

The Company shall align the extent of monitoring with the risk category of the customer. The Company shall put in place a system of periodic review of risk categorisation of accounts, with such periodicity being at least once in every six months and shall establish the need for applying



enhanced due diligence measures. The Company shall closely monitor the transactions in accounts of marketing firms, especially accounts of Multi-level Marketing (MLM) companies.

Explanation: The Company shall subject high-risk accounts to more intensified monitoring.

3.5 Periodic Update of KYC

The Company will adopt a risk-based approach with respect to periodic updation of KYC ensuring that the information or data collected under CDD is kept up-to-date and relevant, particularly where there is high risk. The Company shall undertake periodic updation at least once every two years for high-risk customers, once every eight years for medium risk customers and once every ten years for low-risk customers subject to the following conditions:

i. Individual Customers:

- a. No change in KYC information: In case of no change in the KYC information, a self- declaration from the customer in this regard shall be obtained through customer's email id registered with the Company, customer's mobile number registered with the Company, digital channels (such as mobile/web-based application of the Company), letter etc.
- b. Change in address: In case of a change only in the address details of the customer, a self- declaration of the new address shall be obtained from the customer through customer's email- id registered with the Company, customer's mobile number registered with the Company, digital channels (such as mobile/ web-based application of Company), letter etc., and the declared address shall be verified through positive confirmation within two months, by means such as address verification letter, contact point verification, deliverables etc. Further, the Company shall obtain a copy of OVD or deemed OVD or the equivalent e-documents thereof, for the purpose of proof of address, declared by the customer at the time of periodic updation.
- c. The Company may obtain a copy of OVD for the purpose of proof of address, declared by the customer at the time of updation / periodic updation.
- d. The company may use Aadhaar OTP based e-KYC in non-face-to-face mode for updation / periodic updation.
- e. Declaration of current address, if the current address is different from the address in Aadhaar, shall not require positive confirmation in this case. The Company shall ensure that the mobile number for Aadhaar authentication is same as the one available with them in the customer's profile, in order to prevent any fraud.

ii. Customers other than individuals:



- a. No change in KYC information: In case of no change in the KYC information of the Legal Entity (LE) customer, a self-declaration in this regard shall be obtained from the LE customer through its email id registered with the Company, digital channels (such as mobile/ web-based application of Company), letter from an official authorized by the LE in this regard, board resolution etc. Further, the Company shall ensure during this process that Beneficial Ownership (BO) information available with Company is accurate and shall update the same, if required, to keep it as up-to- date as possible.
 - b. Change in KYC information: In case of change in KYC information, the Company shall undertake the KYC process equivalent to that applicable for onboarding a new LE customer.
- iii. Additional measures: In addition to the above, the Company shall ensure that**
- a. The KYC documents of the customer as per the current CDD standards are available. This is applicable even if there is no change in customer information but the documents available with Company are not as per the current CDD standards. Further, in case the validity of the CDD documents available with Company has expired at the time of periodic updation of KYC, the Company shall undertake the KYC process equivalent to that applicable for on-boarding a new customer.
 - b. Customer's PAN details, if available with the Company, are verified from the database of the issuing authority at the time of periodic updation of KYC.
 - c. An acknowledgment is provided to the customer mentioning the date of receipt of the relevant document(s), including self-declaration from the customer, for carrying out updation/ periodic updation. Further, it shall be ensured that the information / documents obtained from the customers at the time of updation/ periodic updation of KYC are promptly updated in the records / database of the Company and an intimation, mentioning the date of updation of KYC details, is provided to the customer.
 - d. In order to ensure customer convenience, the Company may consider making available the facility of updation/ periodic updation of KYC at any branch.
 - e. The Company will adopt a risk-based approach with respect to periodic updation of KYC.
- iv.** The Company shall advise the customers that in case of any update in the documents submitted by the customer at the time of establishment of business relationship / account-based relationship and thereafter, as necessary; customers shall submit the update documents within 30 days of the update to the documents for the purpose of updating the records at the Company's end.
- v. Due Notices for Periodic Updation of KYC:**

The Company shall intimate its customers, in advance, to update their KYC. Prior to the due date of periodic updation, the Company shall give at least three advance intimations, including at least one intimation by letter to its customers through available communication



channels. After the due date, the Company shall give at least three reminders, including at least one reminder by letter, to customers who have still not complied despite advance intimations. The letter of intimation / reminder may, inter alia, contain easy-to understand instructions for updating KYC, escalation mechanism for seeking help and the consequences of failure to update their KYC in time. Issue of such advance intimation / reminder shall be duly recorded in the NBFC's system against each customer for audit trail.

vi. Existing Customers:

In case of existing customers, the Company will obtain the Permanent Account Number, by such date as may be notified by the Central Government, failing which the Company can temporarily cease operations in the account till the time the Permanent Account Number is submitted by the customer.

Provided that before temporarily ceasing operations for an account, the Company will give the customer an accessible notice and a reasonable opportunity to be heard. Further, the Company will also incorporate an appropriate relaxation(s) for continued operation of accounts for customers who are unable to provide Permanent Account Number owing to injury, illness, or infirmity on account of old age or otherwise, and such like causes. Such accounts would be subject to enhanced monitoring.

Provided further that if a customer having an existing account-based relationship with the Company and gives in writing that he does not want to submit his Permanent Account Number the Company will close the account and all obligations due in relation to the account shall be appropriately settled after establishing the identity of the customer by obtaining the identification documents as applicable to the customer.

Note: 'Temporary ceasing of operations' in relation to an account shall mean the temporary suspension of all transactions or activities in relation to that account by the NBFC till such time the customer complies with the provisions of this paragraph. In case of asset accounts such as loan accounts, for the purpose of ceasing the operation in the account, only credits shall be allowed.

3.6 Accounts of Politically Exposed Persons (PEPs)

The Company may establish account-based relationship with PEPs (whether as customer or beneficial owner) provided that, apart from performing normal customer due diligence:

- The Company has in place appropriate risk management systems to determine whether the customer or beneficial owner is a PEP.
- Reasonable measures are taken by the Company for establishing the source of funds/ wealth.
- For any lending/business relationship with PEP, formal approval at senior level (Head of Credit/ Head of Credit Risk) will be taken and the account will be closely monitored on an on-going basis.
- In the event of an existing customer or the beneficial owner of an existing account subsequently becoming a PEP; approval from Senior Management will be obtained to continue the business relationship.
- All PEP accounts shall be classified as high-risk accounts and shall be subject to enhanced monitoring on-going basis.

These rules shall also be applicable to family members or close associates of PEPs.



Explanation: For the purpose of this paragraph, “Politically Exposed Persons” (PEPs) are individuals who are or have been entrusted with prominent public functions by a foreign country, including the Heads of States/Governments, senior politicians, senior government or judicial or military officers, senior executives of state-owned corporations and important political party officials. The Company to ensure that a group-wide policy is implemented for the purpose of discharging obligations under the provisions of Chapter IV of the PMLA Act, 2002.

4. Enhanced Due Diligence

Enhance Due diligence (EDD) for non-face to face customer onboarding: Non-face-to-face onboarding facilitates the Company to establish relationship with the customer without meeting the customer physically or through V-CIP. Non-face-to-face modes include use of digital channels such as CKYCR, Digi Locker, equivalent e-document, etc., and non-digital modes such as obtaining copy of OVD certified by additional certifying authorities as allowed for NRIs and PIOs. Following EDD measures shall be undertaken for non-face-to-face customer onboarding (other than Aadhaar OTP based customer onboarding):

- The Company shall ensure that any and all transactions shall be permitted only from the mobile number used for onboarding. The Company shall not link alternate mobile numbers of Customers post CDD for transaction OTP, transaction updates, etc. Any request for a change to the mobile number has to be carried out in accordance with the process mentioned below.
- All requests for change of registered mobile number or updation of any documents shall only be carried out upon taking explicit consent of the customer along-with PAN number of such customers. All such requests shall only be entertained upon verification of the PAN number of the customer and no requests for re-change in mobile numbers shall be entertained within 24 (twenty-four) hours of receipt or the request or processing of the previous request.
- In addition to obtaining the current address proof of the Customer through the digital channels mentioned above (viz. CKYCR, DigiLocker, equivalent e-document, etc.), the Company shall verify the current address through positive confirmation, by means of such as address verification letter, contact point verification, deliverables, etc.
- The Company shall obtain PAN from the Customers and shall verify such PAN from the verification facility of NSDL.
- The Company shall disburse the loan amount to the customer's verified bank account only after positive bank account verification through penny drop or otherwise.



- The Company shall ensure that customer(s) onboarded through non-face-to-face process i.e. digital channels mentioned above (viz. CKYCR, DigiLocker, equivalent e- document, etc.), shall be categorized as high-risk and such Customer's account shall be subjected to enhanced monitoring until the identity of the Customer is verified through face-to-face manner either physically or V-CIP.
- The Company shall apply enhanced due diligence measures, which are effective and proportionate to the risks, to business relationships and transactions with natural and legal persons (including financial institutions) from countries specified by the FATF.

5. Physical KYC - Original Seen and Verified (OSV) Norms)

In cases where a customer is onboarded through physical KYC, the customer's documents shall be collected and physically verified by an authorised employee of the Company or the group entity. A visit may be arranged to the customer's registered address, where required. All documents submitted by the applicant, co-applicant, or guarantor shall be sighted in original and verified through 'Original Seen and Verified' (OSV) by an authorised official of the Company or the group entity. OSV remarks shall be recorded and duly signed, and OSV shall be mandatory for all KYC documents and for all documents where originals are available for verification.

6. Video based Customer Identification Process (V-CIP)

The Company may onboarding customers using V-CIP method. The same shall be carried out by an authorised official of the Company for establishment of an account-based relationship post obtaining the customer's explicit consent. The Company may undertake V-CIP to carry out:

- CDD in case of new customer on-boarding for individual customers, proprietor in case of proprietorship firm, authorised signatories, and Beneficial Owners (BOs) in case of Legal Entity (LE) customers. In case of CDD of a proprietorship firm, the Company will also obtain the equivalent e- document of the activity proofs with respect to the proprietorship firm.
- Conversion of existing accounts opened in non-face to face mode using Aadhaar OTP based e-KYC authentication as per EDD Paragraph.
- Updation / Periodic updation of KYC for eligible customers.

If the Company opts to undertake V-CIP, it shall adhere to the following minimum standards:

a. V-CIP Infrastructure

- i. The Company shall comply with the RBI guidelines on minimum baseline cyber security and resilience framework, as updated from time to time as well as other general guidelines



on IT risks. The technology infrastructure will be housed within its own premises, and all the V-CIP connections and interactions shall originate exclusively from its own secured network domain. Any technology related outsourcing for the process shall be undertaken in compliance with relevant RBI guidelines. Where cloud deployment model is used, it shall be ensured that the ownership of data in such model rests with the Company only and all the data including video recording is transferred to the Company's exclusively owned / leased server(s) including cloud server, if any, immediately after the V-CIP process is completed and no data shall be retained by the cloud service provider or third- party technology provider assisting the V-CIP of the Company.

- ii. The Company will ensure end-to-end encryption of data between customer device and the hosting point of the V-CIP application, as per appropriate encryption standards. The customer's consent should be recorded in an auditable and alteration-proof manner.
- iii. The V-CIP infrastructure / application will be capable of preventing connection from IP addresses outside India or from spoofed IP addresses.
- iv. The video recordings will contain the live GPS co-ordinates (geo-tagging) of the customer undertaking the V-CIP and date-time stamp. The quality of the live video in the V-CIP shall be adequate to allow identification of the customer beyond doubt.
- v. The application shall have components with face liveness / spoof detection as well as face matching technology with a high degree of accuracy, even though the ultimate responsibility of any customer identification rests with the Company.
- vi. Appropriate artificial intelligence (AI) technology may be used to ensure that the V-CIP is robust.
- vii. Based on experience of detected / attempted / 'near-miss' cases of forged identity, the technology infrastructure including application software as well as workflows shall be regularly upgraded. Any detected case of forged identity through V-CIP shall be reported as a cyber event under extant regulatory guidelines.
- viii. The V-CIP infrastructure shall undergo necessary tests such as Vulnerability Assessment, Penetration testing and a Security Audit to ensure its robustness and end-to-end encryption capabilities. Any critical gap reported under this process shall be mitigated before rolling out its implementation. Such tests should be conducted by the empanelled auditors of Indian Computer Emergency Response Team (CERT-In). Such tests should also be carried out periodically in conformance to internal / regulatory guidelines.
- ix. The V-CIP application software and relevant Application Programming Interface ('APIs') / webservices will also undergo appropriate testing of functional, performance, maintenance strength before being used in live environment. Only after closure of any critical gap found during such tests, the application should be rolled out. Such tests shall also be carried out periodically in conformity with internal/ regulatory guidelines.



b. V-CIP Procedure

- i. The Company has formulated a clear workflow and standard operating procedure for V-CIP and ensures adherence to it. The V-CIP process shall be operated only by officials of the Company specially trained for this purpose. The Company staff shall be capable of carrying out liveness check and detect any other fraudulent manipulation or suspicious conduct of the customer and act upon it. The liveness check shall not result in exclusion of person with special needs.
- ii. Disruption of any sort including pausing of video, reconnecting calls, etc., shall not result in creation of multiple video files. If pause or disruption does not lead to the creation of multiple files, then there shall be no need to initiate a fresh session. However, in case of call drop / disconnection, fresh session shall be initiated.
- iii. The official of the Company shall ensure that the sequence and/or type of questions including those indicating liveness of the interaction, during video interactions are varied in order to establish that the interactions are real-time and not pre-recorded.
- iv. Any prompting observed shall lead to rejection of the account opening process.
- v. The fact of the V-CIP customer being an existing or new customer, or if it relates to a case rejected earlier or if the name appearing in some negative list should be factored in at appropriate stage of workflow.
- vi. The authorised official of the Company performing the V-CIP shall record audio - video as well as capture photograph of the customer present for identification and obtain the identification information using any one of the following:
 - OTP based Aadhar e-KYC authentication.
 - Offline Verification of Aadhaar for identification.
 - KYC records downloaded from CKYCR, using the KYC identifier provided by the customer.
 - Equivalent e-document of Officially Valid Documents (OVDs) including documents issued through Digilocker
- vii. The Company shall ensure to redact or blackout the Aadhaar number in all the records.
- viii. In case of offline verification of Aadhaar using XML file or Aadhaar Secure QR Code, it shall be ensured that the XML file or Quick Response ('QR') code generation date is not older than three working days from the date of carrying out V-CIP.
- ix. Further, in line with the prescribed period of three days for usage of Aadhaar Extensible Markup Language ('XML') file / Aadhaar QR code, the Company will ensure that the video process of the V-CIP is undertaken within three working days of downloading / obtaining the identification information through CKYCR / Aadhaar authentication / equivalent e-



document, if in the rare cases, the entire process cannot be completed at one go or seamlessly. The Company will ensure that no incremental risk is added due to this.

- x. If the address of the customer is different from that indicated in the OVD, suitable records of the current address shall be captured, as per the existing requirement. It shall be ensured that the economic and financial profile/information submitted by the customer is also confirmed from the customer undertaking the V-CIP in a suitable manner.
- xi. The Company shall capture a clear image of PAN card to be displayed by the customer during the process, except in cases where e-PAN is provided by the customer. The PAN details shall be verified from the database of the issuing authority (NDSL) including through Digilocker.
- xii. Use of printed copy of equivalent e-document including e-PAN is not valid for the V- CIP.
- xiii. The authorised official of the Company shall ensure that photograph of the customer in the Aadhaar/OVD and PAN / e-PAN details matches with the customer undertaking the V- CIP and the identification details in Aadhaar/OVD and PAN/e-PAN shall match with the details provided by the customer.
- xiv. All accounts opened through V-CIP shall be made operational only after being subject to concurrent audit, to ensure the integrity of the process and its acceptability of the outcome.
- xv. All matters not specified under the paragraph but required under other statutes such as the Information Technology (IT) Act shall be appropriately complied with by Company.

c. V-CIP Records and Data Management:

- i. The entire data and recordings of V-CIP will be stored in a system / system located in India. The Company will ensure that the video recording is stored in a safe and secure manner and bears the date and time stamp that affords easy historical data search. The extant instructions on record management, as stipulated in this Master Direction, shall also be applicable for V-CIP.
- ii. The activity log along with the credentials of the official performing the V-CIP shall be preserved.

7. CKYC - CDD Procedure & sharing KYC information with Central KYC Records Registry

- i. The Company shall capture customer's KYC records and upload onto CKYCR within 10 days of commencement of an account-based relationship with the customer.



- ii. The Company shall refer to the operational guidelines for uploading the KYC data released by CERSAI.
- iii. The Company shall capture the KYC information for sharing with the CKYCR in the manner mentioned in the Rules, as per the KYC templates prepared for 'Individuals' and 'Legal Entities' (LEs), as the case may be. The templates may be revised from time to time, as may be required and released by CERSAI.
- iv. Once KYC Identifier is generated by CKYCR, the Company shall ensure that the same is communicated to the individual / LE as the case may be.
- v. Whenever the Company obtains additional or updated information from any customer, the Company shall within seven days or within such period as may be notified by the Central Government, furnish the updated information to CKYCR, which shall update the KYC records of the existing customer in CKYCR. CKYCR shall thereafter inform electronically all the reporting entities who have dealt with the concerned customer regarding updation of KYC record of the said customer. Once CKYCR informs the Company regarding an update in the KYC record of an existing customer, the Company shall retrieve the updated KYC records from CKYCR and update the KYC record maintained by the Company.
- vi. The Company shall ensure that during periodic update, the customers are migrated to the current CDD standard.
- vii. For the purpose of establishing an account-based relationship, update / periodic update or for verification of identity of a customer, the Company shall seek the KYC Identifier from the customer or retrieve the KYC Identifier, if available, from the CKYCR and proceed to obtain KYC records online by using such KYC Identifier and shall not require a customer to submit the same KYC records or information or any other additional identification documents or details, unless:
 - a. there is a change in the information of the customer as existing in the records of CKYCR; or
 - b. the KYC record or information retrieved is incomplete or is not as per the current applicable KYC norms; or
 - c. the validity period of downloaded documents has lapsed; or
 - d. the Company considers it necessary in order to verify the identity or address (including current address) of the customer, or to perform enhanced due diligence or to build an appropriate risk profile of the customer.

8. Monitoring of Transactions

In terms of the Rules, the Company is required to report information relating to cash and suspicious transactions electronically to FIU India. The Company shall comply with such reporting



requirement by utilising the formats stipulated in the Master Directions and as prescribed by FIU-IND.

- The Suspicious Transaction Report (STR) shall be submitted within 7 working days of arriving at a conclusion that any transaction, whether cash or non-cash, or a series of transactions integrally connected are of suspicious nature. In this regard, the Principal Officer shall record his reasons for treating any transaction or a series of transactions as suspicious. It should be ensured that there is no undue delay in arriving at such a conclusion.
- The Company shall keep in mind that any delay in furnishing of information would result into a violation of the requirement stipulated in the Rules. The Principal Officer will be responsible for timely submission of STR to FIU-IND. No Nil reporting needs to be made to FIU-IND in case there are no cash/suspicious transactions to be reported.
- The Company shall not put any restrictions on operations in the accounts merely based on the STR filed.
- The Company, its Directors, Officers, and all employees shall ensure that the fact of maintenance of records referred to in rule 3 of the PML (Maintenance of Records) Rules, 2005 and furnishing of the information to the director is confidential and its Directors, Officers and employees (permanent and temporary) will be prohibited from disclosing ('tipping off') the fact that an STR or related information is being reported or provided to the FIU-IND. However, such confidentiality requirement shall not inhibit sharing of information of any analysis of transactions and activities which appear unusual, if any such analysis has been done.
- This prohibition on tipping off extends not only to the filing of the STR and/or related information but even before, during and after the submission of an STR. Thus, it shall be the duty of all employees involved to ensure that there is no tipping off to the customer at any level.

9. Obligations under Unlawful Activities (Prevention) (UAPA) Act, 1967 (Sanctions screening)

- i. The Company shall ensure that in terms of section 51A of the Unlawful Activities (Prevention) (UAPA) Act, 1967 and amendments thereto, it does not have any account in the name of individuals / entities appearing in the lists of individuals and entities, suspected of having terrorist links, which are approved by and periodically circulated by the United Nations Security Council (UNSC). The details of the two lists are as under:
 - The 'ISIL (Da'esh) & Al-Qaida Sanctions List', established and maintained pursuant to Security Council resolutions 1267 / 1989 / 2253, which includes names of individuals and entities associated with Al-Qaida, is available at:



www.un.org/securitycouncil/sanctions/1267/aq_sanctions_list

- The 'Taliban Sanctions List', established and maintained pursuant to Security Council resolution 1988 (2011), which includes names of individuals and entities associated with the Taliban is available at:

<https://www.un.org/securitycouncil/sanctions/1988/materials>

- The Company shall also ensure to refer to the lists as available in the Schedules to the Prevention and Suppression of Terrorism (Implementation of Security Council Resolutions) Order, 2007, as amended from time to time. The Company shall verify the aforementioned lists, i.e., UNSC Sanctions Lists and lists as available in the Schedules to the Prevention and Suppression of Terrorism (Implementation of Security Council Resolutions) Order, 2007, as amended from time to time, on a daily basis, and any modifications to the lists in terms of additions, deletions or other changes shall be taken into account for meticulous compliance.
- The Company shall report the details of accounts resembling any of the individuals / entities in the lists to FIU-IND in addition to advising the Ministry of Home Affairs (MHA) as required under UAPA notification dated February 2, 2021.
- Freezing of Assets under section 51A of UAPA, 1967: The Company shall strictly follow the procedure laid down in the UAPA Order dated February 2, 2021 and shall ensure the meticulous compliance with the Order issued by the Government. The list of Nodal Officers for UAPA is available on the website of MHA.

10. Record Management

The following steps shall be taken regarding maintenance, preservation and reporting of customer information, with reference to provisions of PML Act and Rules.

- Maintain all necessary records of transactions between the Company and the customer, both domestic and international, for at least five years from the date of transaction.
- Maintain all necessary information in respect of transactions prescribed under PML Rule 3 so as to permit reconstruction of individual transaction, including the following:
 - the nature of the transactions.
 - the amount of the transaction and the currency in which it was denominated.
 - the date on which the transaction was conducted; and
 - the parties to the transaction.
- Preserve the records pertaining to the identification of the customers and their addresses obtained while opening the account and during the course of business relationship, for at least five years after the business relationship is ended;
- Make available swiftly, the identification records and transaction data to the competent authorities upon request;

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- v. Introduce a system of maintaining proper record of transactions prescribed under Rule 3 of Prevention of Money Laundering (Maintenance of Records) Rules, 2005 (PML Rules, 2005).
- vi. Evolve a system for proper maintenance and preservation of account information in a manner that allows data to be retrieved easily and quickly whenever required or when requested by the competent authorities.
- vii. Records of identity and address of their customer, and records in respect of transactions referred to in Rule 3 shall be maintained in hard or soft copy.

Explanation. – For the purpose of this Paragraph, the expressions "records pertaining to the identification", "identification records," etc., shall include updated records of the identification data, account files, business correspondence and results of any analysis undertaken.

11. Secrecy and Sharing of Information

- i. The Company officials shall maintain confidentiality of information as provided in Section 45NB of RBI Act 1934.
- ii. The Company shall maintain secrecy regarding the customer information which arises out of the contractual relationship between the Company and the Customer.
- iii. Information collected from customers for the purpose of opening of accounts shall be treated as confidential and details thereof shall not be divulged for the purpose of cross selling or any other purpose without the express permission of the customer.
- iv. While considering the request for data/information from Government and other agencies, the Company shall satisfy themselves that the information being sought is not of such a nature as will violate the provisions of the laws relating to secrecy in the transactions.
- v. The exceptions to the said rule shall be as under:
 - Where disclosure is under compulsion of law;
 - Where there is a duty to the public to disclose;
 - The interest of Company required disclosure;
 - Where the disclosure is made with the express or implied consent of the customer.

12. Hiring of Employees and Employee Training

The Company shall put in place an adequate screening mechanism, including Know Your Employee / Staff policy, as an integral part of its personnel recruitment / hiring process.



The Company shall endeavour to ensure that the staff dealing with / being deployed for KYC / AML / CFT matters have high integrity and ethical standards, good understanding of extant KYC / AML / CFT standards, effective communication skills and ability to keep up with the changing KYC / AML / CFT landscape, nationally and internationally. The Company shall also strive to develop an environment which fosters open communication and high integrity amongst the staff.

The Company shall put in place an on-going employee training programme so that the members of staff are adequately trained in KYC / AML / CFT policy. The focus of the training shall be different for frontline staff, compliance staff and staff dealing with new customers. The Company shall specially train the front desk staff to handle issues arising from lack of customer education. The Company shall ensure the proper staffing of the audit function with persons adequately trained and well-versed in KYC / AML / CFT policies of the NBFC, regulation and related issues.

13. Policy Review

The Company shall review the Policy annually or earlier if considered necessary and shall recommend it to the Board for adoption. All extant & future master circular/directions/guidance notes issued by RBI from time to time would be the directing force and will supersede the contents of this policy.



Annexure I

Individual and Entity wise document list:

The below documents shall be collected in addition to basic details such as name of entity/customer, place of business, address of beneficial owners, telephone number, etc.

Legal Entity
Company • Certificate of Incorporation • Memorandum of Association and Articles of Association • PAN of the company • Board Resolution and power of attorney granted to its managers, officers or employees to transact on its behalf • Names of the relevant persons holding senior management position • Registered office and the principal place of its business, if it is different. Alternatively, a declaration shall be taken confirming that these addresses are the same. • Documents of 'individuals' (beneficial owner, the managers, officers or employees, as the case may be, holding an attorney to transact on its behalf) as specified below
Partnership/Limited Liability Partnerships (LLP) • Registration Certificate • Partnership Deed/LLP agreement • PAN of the firm • Names of all partners. Alternatively, the company shall note the names of the partners from the partnership deed • Address of the Registered office and the principal place of its business, if it is different. Alternatively, a declaration shall be taken confirming that these addresses are the same. • Documents of 'individuals' (beneficial owner, the managers, officers or employees, as the case may be, holding an attorney to transact on its behalf) as specified below
Trusts • Registration Certificate • Trust Deed • PAN of the trust • Names of the beneficiaries, trustees, settlor, protector, if any and authors of the trust • The address of the registered office of the trust • List of trustees and documents as specified for 'individuals' above for those discharging the role as trustee and authorised to transact on its behalf.

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Documents of 'individuals' (beneficial owner, the managers, officers or employees, as the case may be, holding an attorney to transact on its behalf) as specified below
Unincorporated Association or a body of individuals - Resolution of the managing body of such association or body of individuals - PAN of the unincorporated association or body of individuals - Power of attorney granted to transact on its behalf - Documents of 'individuals' (beneficial owner, the managers, officers or employees, as the case may be, holding an attorney to transact on its behalf) as specified below - Such information as may be required by the Company to collectively establish the legal existence of such an association or body of individuals.
Sole Proprietorship - Documents of 'individuals' as mentioned above - Any two of the following documents: - Registration certificate including Udyam Registration Certificate (URC) issued by the Government - Certificate/licence issued by the municipal authorities under Shop and Establishment Act - Sales and income tax returns - CST/VAT/ GST certificate - Certificate/registration document issued by Sales Tax/Service Tax/Professional Tax authorities - IEC issued to the proprietary concern by the office of DGFT or Licence/certificate of practice issued in the name of the proprietary concern by any professional body incorporated under a statute - Complete Income Tax Return (not just the acknowledgement) in the name of the sole proprietor where the firm's income is reflected, duly authenticated/acknowledged by the Income Tax authorities - Utility bills such as electricity, water, landline telephone bills, etc. In cases it is not possible to furnish two such documents, the Company may, at its discretion, accept only one of those documents as proof of business / activity. In such cases, the Company shall undertake contact point verification and collect such other information and clarification as would be required to establish the existence of such firm and shall confirm and satisfy itself that the business activity has been verified from the address of the proprietary concern.
Individuals (Ultimate beneficial owners, managers, officers, employees, etc. of the legal entity)
PAN Card or Form 60 Officially Valid Document (OVD): (Any 1)



- Passport
- Driving license
- Proof of possession of Aadhaar number
- The Voter's Identity Card
- Job card issued by NREGA duly signed by an officer of the State Government and
- Letter issued by the National Population Register

Where the OVD furnished does not have updated address, the following documents or the equivalent e-documents thereof shall be deemed to be OVDs for the limited purpose of proof of address:

- Utility bill which is not more than two months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill)
- Property or Municipal tax receipt
- Pension or family pension payment orders (PPOs) issued to retired employees by Government Departments or Public Sector Undertakings, if they contain the address
- Letter of allotment of accommodation from employer issued by State Government or Central Government Departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies and leave and licence agreements with such employers allotting official accommodation

Alternatively, a declaration shall be taken confirming that the OVD contains the updated address.

Where the OVD presented by a foreign national does not contain the details of address, in such case the documents issued by the Government departments of foreign jurisdictions and letter issued by the Foreign Embassy or Mission in India shall be accepted as proof of address.

Annexure II

Below are the parameters for risk categorization:

Low Risk

- Physical KYC / Video KYC
- Government departments and Government-owned companies



Medium Risk
- Mixed/Negative social media feedback - Where the customer profile is uncertain and/or doubtful
High Risk
- Politically exposed persons (PEPs) - Non-face to face modes of KYC such as CKYCR, DigiLocker, equivalent e-document, etc., and non-digital modes such as obtaining copy of OVD certified by additional certifying authorities as allowed for NRIs and PIOs - Customers that are engaged in restricted / caution businesses as detailed in the process note / SOP

Other parameters such as unverified income source, entity type, geographical risk, complex legal or ownership structure, or any other risk indicators identified in the Credit Assessment Memo (CAM) may be considered for a more stringent risk classification at the time of customer approval or onboarding.